



MERCEDES-BENZ



Locations

Distribution:

Barbados+, Colombia, Ecuador,
El Salvador, Guam+, Guatemala,
Uruguay

Retail:

UK

Since signing our first distribution contracts with Mercedes-Benz in 2019 in Uruguay and Ecuador, in January 2020 we became the distributor for Mercedes-Benz passenger vehicles in Colombia. We have since continued our consolidation and are now Mercedes' number one distribution partner in Latin America.



MOBILISING OUR BUSINESS IN RESPONSE TO CLIMATE CHANGE

We recognise that climate change is seriously affecting our planet. As the planet continues to warm it will have consequences for how, and where, we do business. As we take actions to combat the most serious effects of climate change, we will encounter new risks and opportunities as a result. In this section, we set out how we are responding to the urgent and important issue of climate change.

Our response to climate change comprises three pillars:

- understanding, reporting and acting upon our climate change risks and opportunities (CROs);
- reducing our Scope 1 and Scope 2 greenhouse gas emissions; and
- addressing our value chain (Scope 3) greenhouse gas emissions.

Understanding, reporting and acting upon our CROs

Our stakeholders depend upon us to understand how man-made climate change, and the efforts of society to limit the effects of that climate change, will affect our business. In 2021, we undertook a comprehensive exercise to identify our most important CROs under a range of different scenarios. This year, we have built upon that work and sought to quantify the potential impacts of our five most significant CROs under a 1.5°C warming and 4°C warming scenario. The results of that analysis are set out on pages 50 to 51. We have embedded the outputs from that analysis into our strategic planning and financial forecasting and identified a series of mitigation and adaptation measures to address each CRO.

Reducing our Scope 1 and Scope 2 greenhouse gas emissions

We have set a target to reduce our Scope 1 and Scope 2 emissions by 46% by 2030 with 2019 as the baseline year. This is consistent with a 1.5°C warming world under the Science Based Targets initiative. Our aim, consistent with our Accelerate strategy, is to be the lowest carbon route to market for our OEM partners.

During the year, we have made good progress in reducing our Scope 1 and Scope 2 emissions by switching to renewable sources of electricity, investing in on-site renewables and reducing our energy usage. We provide more details on page 53.

Addressing our value chain (Scope 3) greenhouse gas emissions

In 2022, we established our Scope 3 GHG footprint. This has enabled us to understand the principal sources of our Scope 3 emissions and, therefore, what we can do to reduce those emissions. We believe that no-one is better placed than Inchcape to help our OEM partners make the transition to a low carbon future and we will take three sets of actions:

- reduce those emissions within our direct control as quickly as possible;
- seize opportunities to partner with OEMs that are able to offer our customers lower emissions vehicles; and
- support our customers, teams and OEM partners in making the transition.

In line with the UK Listing Rules, we confirm that the disclosures included in the 2022 Annual Report and Accounts are consistent with the recommendations of the Task Force on Climate Related Financial Disclosures (TCFD). This section contains the relevant disclosures or otherwise provides cross-references where the disclosures are located elsewhere in the report.

This year, our disclosure is consistent with the TCFD recommendations except for the disclosure of an Internal Carbon Price (ICP), which we explain in the metrics and targets section on page 54. We have also not quantified the potential financial impact for Risk 4 and Opportunities 1 & 2 in this disclosure because the data is not yet sufficiently robust enough. We have therefore concluded that such analysis would not lead to better informed decision making at this stage, but we expect to build on these strong foundations in future disclosures

GOVERNANCE

Board's oversight of climate related risks and opportunities

This year, the Board has specifically considered two areas of focus. First, it has considered the work undertaken to quantify the Group's principal CROs. The Board will further consider this analysis in the context of its strategy discussions in 2023. Second, the Board has reviewed the assessment of the Group's Scope 3 footprint and the actions that we can take to reduce that footprint. In each case, the Board has been supported by external specialists with appropriate levels of experience and expertise. Further, as climate change becomes ever more relevant, it permeates an increasing number of Board conversations. For example, when considering a new OEM partnership, or an acquisition opportunity, the Board will consider how the OEM or business in question is equipped to manage the transition to a low carbon economy.

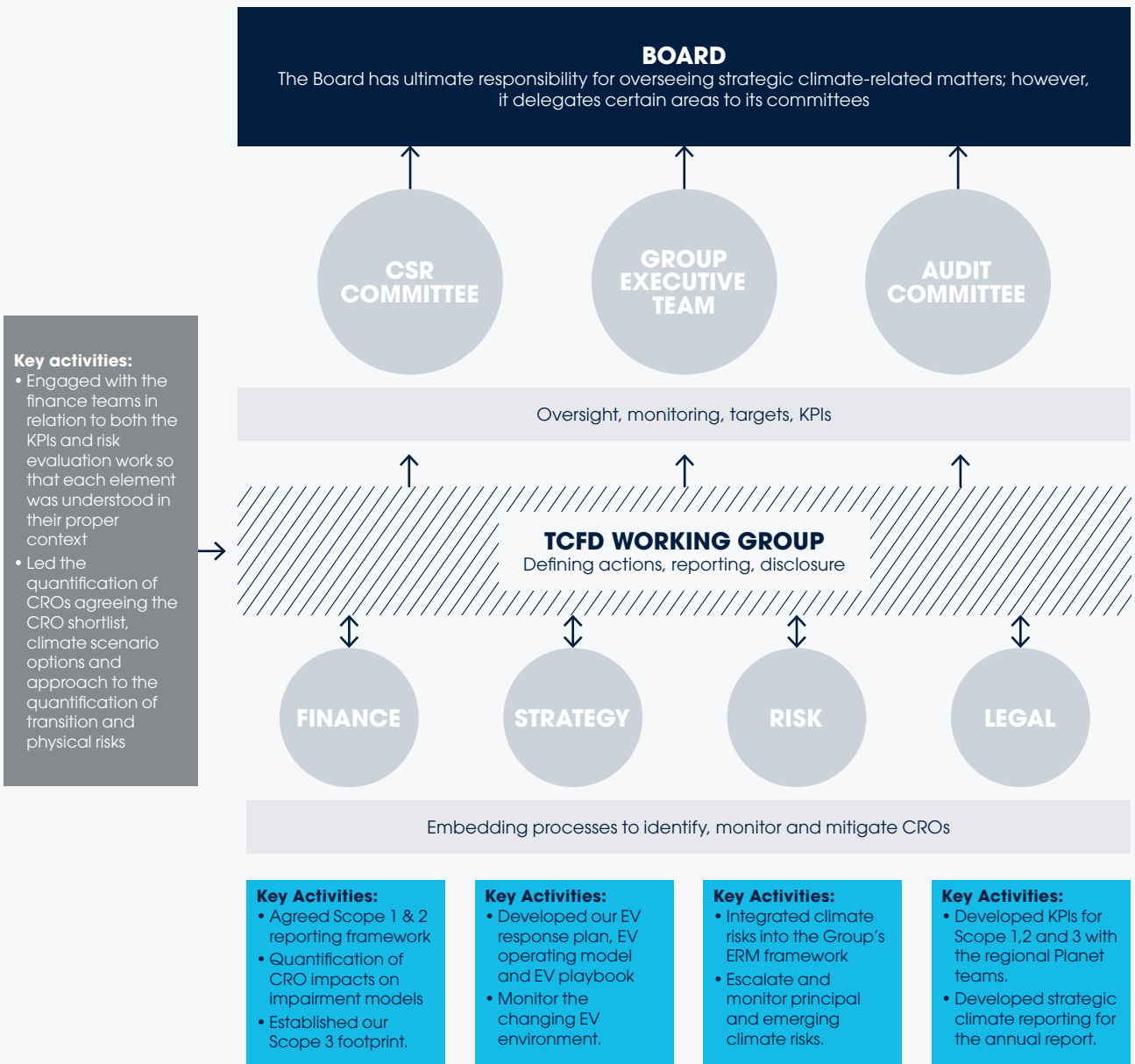
Other climate-related issues considered by the Board during the year include the:

- EV response strategy which has been developed for the APAC region. This will inform the development of a Group-wide EV response strategy;
- EV safety impact requirements which have been developed to build on industry and OEM advice; and
- material climate-related risks and opportunities which are incorporated into the list of principal risks and the emerging climate related risks.

Role of the Committees in assessing climate change impacts

The Board delegates the oversight of certain aspects of climate change to its Committees. Where climate-related issues have been considered at Committee level, updates are given to the full Board following each meeting.

GOVERNANCE FRAMEWORK



The CSR Committee considers climate change at each meeting, usually three each year, as part of its oversight of the Planet workstream. Please see pages 94 to 95 for further details.

The Audit Committee reviews the impact of climate change when considering significant accounting judgements, the viability of the Group, and during its assessment of the Group's significant and emerging risks. Please see pages 88 to 93 for further details. The Board and the Committees delegate responsibility for assessing and monitoring climate-related risks to the Group Executive Team (GET), which is chaired by the Group CEO.

Management's role in assessing and managing risks and opportunities

The GET analysed the CRO quantification and Scope 3 footprint prior to the findings being presented to the CSR

Committee and Board, in addition, the GET also considered climate-related issues as part of the following discussions:

- design of strategy – considering our strategic choices through a climate change lens;
- implementation of Risk Management framework – related oversight of how climate-related risks are being continually assessed at regional level;
- financial planning – impact of climate on future cash flows and impairment;
- business development – assessment of current and future OEM partners' new energy vehicle line up and market infrastructure;
- customers – considering the changing consumers preferences and needs both for product and purchasing process;



HOW WE ARE DRIVING ACTION TO REDUCE EMISSIONS

EDUCATING CUSTOMERS ABOUT ELECTRIC VEHICLE ALTERNATIVES



At the beginning of 2021 our BMW Poland stores launched an initiative to offer an EV alternative to each customer who comes to the dealership to view new vehicles. The initiative was instigated to access new profit pools in line with OEM priorities and to reduce the impact on the planet. Upskilling and educating our teams has been advantageous in positioning our brand and helping employees understand the benefits of EVs. Customers to whom we show a new perspective appreciate one key thing: they see that we are looking for solutions and offer products that they have not thought about before.

A SWITCH TO RENEWABLE ENERGY SOURCES



As of 2022, our electricity supply has been sourced through 100% renewable contracts for our sites across Australia and the UK, and most of Europe, saving as much as 9,000 tonnes of CO₂e emissions each year. We have switched 50.3% of our sites to renewable suppliers; our long-term goal is to switch to renewable energy in as many regions where options allow. In regions where switching to renewable energy is limited we are investing in increasing energy efficiency through installation of LED lighting and switching company fleets to low emission vehicles.

50.3%

sites switched to renewable suppliers

PRODUCING OUR OWN POWER



We are actively investing to reduce our Scope 2 emissions through on-site renewable generation and have begun to roll out solar photovoltaic (PV) systems across our sites. We trialed the installation of PV systems across three of our UK sites and experienced significant savings in grid energy usage. We now have 24 sites across the UK with rooftop solar PV systems that have the ability to generate 4.5 MWh of power and save around 35% off our energy bills. We anticipate higher cost savings because of higher energy prices. A small example to show how we are building a resilient business for the future while doing some good for the planet.

24

sites across the UK with rooftop solar PV systems

PARTNERSHIPS TO DRIVE E-MOBILITY



Borneo Motors Singapore (BMS) has announced a partnership with Singapore Power Group (SP) to develop an electric vehicle (EV) sharing programme in the upcoming Tengah New Town. The programme is expected to begin in July 2023. BMS will supply vehicles to the scheme while SP plans to install charging points in 10% of all parking spaces. Both BMS and SP will use the programme to collect and analyse data on a range of factors such as driving patterns, electrified vehicle consumption patterns and electrified vehicle preferences. This will enable us to better understand user behaviour and anticipate evolving demands to optimise future e-mobility programmes.

10%

of all parking spaces to have charging points

TASK FORCE ON CLIMATE-RELATED FINANCIAL DISCLOSURES

CONTINUED

METRICS AND TARGETS

In 2021 we established our GHG reduction target, to reduce our Scope 1 and 2 emissions by 46% by 2030. This year we have made substantial progress to improve the maturity of our climate data and have undertaken detailed analysis to understand our exposure to CROs, which informed the development of our strategic response. When developing our response, we have identified the metrics to measure our progress; with these metrics we can determine the time frames that are achievable for our business and then identify appropriate targets. Improving the quality of our data and quantifying our CROs has enabled us to assess possible transition pathways that will support us to set targets and outline the time frame to deliver on our response. We aim to disclose this in our next reporting year.

Our direction of travel is clear in our strategy and the Group uses a variety of metrics to measure the current and potential impact of our climate related risks and opportunities, including GHG emissions and business specific metrics. Our metrics are laid out across the seven cross-industry metric categories defined by the TCFD and 2022 is the first year of reporting. During 2023 we will be exploring options for a physical risk metric and internal carbon pricing.

Table identifying key metrics, targets and dates used to measure progress against the transition plan

Metric category	Status	Metric	FY22 actual	Objective
GHG emissions		Total emissions (tCO ₂ e)	218,517	To track the reduction in our emissions, improvements in our energy efficiency and generation of our own renewable power
		% of sites at 100% renewable electricity	50.3%	
		Energy intensity by revenue (tCO ₂ e/\$m)	26.9	
Physical risk		We do not have physical risk metric in place		
Capital deployment		% of capex towards climate initiatives	10.8%	To demonstrate the level of investment we are committing towards climate to achieve our strategy
Remuneration		Scope 1 and 2 emissions (tCO ₂ e)	30,805	Incentivising leadership to deliver emissions reductions
Transition risk		% of NEV sold	1.8%	-% of NEV sold
Opportunities		% of NEV sold	1.8%	-% of NEV sold
Internal carbon pricing		We do not have an internal carbon pricing in place		

Key ■ Metric in place ■ No metric in place

All data is market-based.

GHG emissions

Direct GHG emissions are from our operations through combustion of fuels (Scope 1). We also purchase energy from the grid (Scope 2) and have indirect GHG emissions throughout the value chain mainly because of our purchase of goods, consumer use of vehicles and transportation, which together make up more than 95% of our total Scope 3 emissions.

We are acting across all three Scopes and working closely with our partners to reduce GHG emissions for our business, our customers and our value chain. Please see pages 119 to 120 for our Streamline Energy and Carbon Emission reporting (SECR). We report our GHG emissions according to the Greenhouse Gas Protocol, published by the WBCSD and the WRI.

We also disclose our energy intensity per square foot. This metric measures our energy efficiency and will track the impact of our energy saving initiatives. We chose to do this as we recognise that until the grid consists of 100% low carbon energy supply, the renewable energy we purchase reduces the renewable energy remaining on the grid for other users and may not have the decarbonisation effect at an economy level.

REDUCTION TARGETS FOR SCOPE 1 AND 2

Year	Scope 1 and 2 emissions (tCO ₂ e)
2019 (baseline)	50,801
2019 (revised baseline*)	40,598
2021	32,949
2022	30,805
Target	27,331

* reflects relevant disposals and data rectification All data is market-based.

SCOPE 3 FOOTPRINT

We have calculated the Group's Scope 3 emissions profile for the 2019 baseline, the vast majority of which are directly related to our OEM partners activities and account for 99.97% of our total emissions footprint at a total of 18.7m tCO₂e.



BMW GROUP

Our partnership with BMW Group is over 30 years strong and has been a key focus for consolidated growth, especially in the Baltic region where we now represent the brand in all three countries: Estonia, Latvia and Lithuania. In 2020 we were awarded the Distribution contracts for MINI in Chile and for MINI and BMW Motorrad (the brand's motorcycle division) in Peru, consolidating our position in those markets. As well as holding Distribution contracts in South America, we also have significant retail operations of BMW Group's brands in UK and Poland.



Locations

Distribution:

Chile, Estonia, Guam, Kenya,
Latvia, Lithuania, Peru

Retail:

Poland, UK



Change of control

The Company is not party to any significant agreements that would take effect, alter or terminate upon a change of control of the Company following a takeover bid apart from certain of the Group's third-party funding arrangements which would terminate upon a change of control of the Company, such as the Group's revolving credit facility agreement. Further details are given in note 23 to the financial statements on page 185.

The Group's relationships with its OEM brand partners are managed at Group level, but the relevant contracts are entered into at a local level with day-to-day management being led by each operating business. Certain of the contracts may terminate on a change of control of the local contracting company.

The Company does not have agreements with any Director or employee providing compensation for loss of office or employment that occurs because of a takeover bid, except for provisions in the rules of the Company's share schemes which may result in options or awards granted to employees to vest on a takeover.

Transactions with Directors

No transaction, arrangement or agreement, other than remuneration, required to be disclosed in terms of the Companies Act 2006 and IAS 24, 'Related Parties' was outstanding at 31 December 2022, or was entered into during the year for any Director and/or connected person (2021: none).

Other information – Listing Rules

The information required to be disclosed by LR 9.8.4R can be found on the pages set out below:

Section	Information	Page
1	Interest capitalised	Not material to the Group
2	Publication of unaudited financial information	115 (Historical TSR performance)
4	Details of long-term incentive schemes	112
5	Waiver of emoluments by a director	Not applicable
6	Waiver of future emoluments by a director	Not applicable
7	Non pre-emptive issues of equity for cash	Not applicable
8	Non pre-emptive issue by a major subsidiary undertaking	Not applicable
9	Parent participation in a placing by a listed subsidiary	Not applicable
10	Contracts of significance	Not applicable
11	Provision of services by a controlling shareholder	Not applicable
12	Shareholder waiver of dividends	118
13	Shareholder waiver of future dividends	118
14	Agreements with controlling shareholders	Not applicable

Business relationships

Having positive relationships with our OEM brand partners, our main suppliers, and our customers is imperative for the long-term success of the Company. Our OEM brand partner relationships are key to every part of our value chain and the length of these relationships, which are given on page 4, is testament to this strength.

We provide access to automotive ownership and support services throughout the customer journey and aim to deliver the best experiences for customers in our industry globally. The Board and management engage with customers through:

- receiving daily reporting of customer feedback on www.reputation.com;
- analysing sales force customer journey management platform; and
- ongoing surveys at market level.

Principal financial risk factors

These risks are shown on pages 61 to 66.

Financial instruments

The information required under Schedule 7 of the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008 in respect of financial instruments is given in note 24 to the financial statements on pages 187 to 195.

Branches outside the UK

The Company does not have any branches outside the UK.

Events after the reporting period

None.

Political donations

The Company did not make any political donations in 2022 and does not intend to make any political donations in 2023.

Streamlined Energy and Carbon Reporting Regulations (SECR)

We collect data for all material emissions for which we deem ourselves to be responsible and look for ways in which to minimise our footprint. Data is collected for three key performance indicators – Scope 1 – our use of gas and fuel in vehicles we own, Scope 2 – our global energy usage, and Scope 3 – other indirect emissions.

Data collection and reporting period

Data has been collected for all markets from 1 January 2022 to 31 December 2022. The level at which we report is by business unit for each market. This covers our retail operations, distribution operations and business service operations, which fall within our operational control boundary.

DIRECTORS' REPORT

CONTINUED

Intensity ratio

The Group's intensity ratio is revenue per tonne of CO₂e. This allows for a fair comparison over time of CO₂e emissions given the growth trajectory envisaged for the Group and cyclical variations in business activity. As required under the SECR regulations the following information relates to the energy consumed in our operations. The list of UK entities is given on pages 219 to 228.

	2022		2021	
	UK & Offshore	Global	UK & Offshore	Global
Total Energy Consumption (Scope 1 and 2 emissions, and Scope 3 vehicle combustion, kWh)	31,548,424	263,707,725	42,956,543	115,639,761
Scope 1 Emissions (tCO ₂ e)	3,617	17,002	2,486	9,752
Scope 1 Emissions (Fugitive, tCO ₂ e)	216	2,791	–	–
Scope 2 Emissions (Location-based, tCO ₂ e)	2,886	22,223	3,689	27,277
Scope 3 Emissions (Business Travel & Upstream Transport, tCO ₂ e)	2,975	187,713	9,221	82,068
Total Scope 1 & 2 Emissions (Location-based, tCO ₂ e)	6,503	39,225	6,175	37,028
Total Scope 1 & 2 Emissions (Market-based, tCO ₂ e)	3,624	30,805	2,486	32,949
Total Scope 1, 2 & 3 Emissions (Location-based, tCO ₂ e)	9,477	226,937	15,395	119,097
Total Scope 1, 2 & 3 Emissions (Market-based, tCO ₂ e)	6,599	218,517	11,706	115,018
Revenue (£m)	2,029	8,133	1,894	6,787
Intensity ratio: Scope 1 and 2 Emissions (Location-based, tCO ₂ e/£m)	3.2	4.8	3.3	7.0
Intensity ratio: Scope 1 and 2 Emissions (Market-based, tCO ₂ e/£m)	1.8	3.8	1.3	6.4
Intensity ratio: Scope 1,2, and 3 Emissions (Location-based, tCO ₂ e/£m)	4.7	27.9	8.1	19.1
Intensity ratio: Scope 1,2, and 3 Emissions (Market-based, tCO ₂ e/£m)	3.3	26.9	6.2	18.5
GHG Protocol Corporate Accounting and Reporting Standard				
GHG Protocol Corporate Value Chain Accounting and Reporting Standard				
Methodologies used in calculation of disclosures				
GHG Protocol Scope 2 Guidance				

Energy efficiency measures

The Group's energy management programme involves monitoring and targeted reporting of energy consumption on a daily basis. All of our markets set action plans at the start of the year to identify and address any consumption issues as and when they arise, allowing opportunities to eliminate unnecessary energy waste. All markets have energy saving measures implemented which cover the installation of LED lighting where available, HVAC efficiency and thermostatic regulation.

Energy efficiency measures introduced in 2021 included:

- The installation of solar panels at three UK sites, saving around 160 tonnes in CO₂ per year.
- Feasibility study and lighting plan to identify opportunities for the roll-out of LED lighting to all UK sites.
- Three UK sites became 'gas free' with alternatives to heating, such as air and ground source heat pumps.
- Replacing older heating, ventilation, and air conditioning control units with newer programmable controls to allow reduction of temperature swings and to set auto-off times to avoid units running out of hours. This included PIR and LUX sensors on lighting so they only turn on as and when someone is present, and light is needed.

These energy efficiency measures were developed further in 2022, which involved:

- Australia and all but one of our European markets have now switched to renewable electricity tariffs.
- The installation of solar panels and LED lighting across all of our UK sites.
- Installation of solar panels has started across Australia, Singapore and Thailand.
- Colombia and Peru have increased the number of electric and hybrid vehicles available in their fleets.
- Our markets in Greater China and Singapore have converted their fleets to include 70% and 30% low emission vehicles respectively, and will continue this until the fleet only contains low emission vehicles.

Emissions reductions targets

During 2022, the Group set emissions reduction targets for Scope 1 and Scope 2. Further details are given in the Responsible Business Report on page 42.

Employees and employee involvement

The Company is committed to a policy of treating all its colleagues and job applicants equally. We are committed to the employment of people with disabilities and will interview those candidates who meet the minimum selection criteria.

We provide training and career development for our employees, tailored where appropriate to their specific needs, to ensure they achieve their potential. If an individual becomes disabled while in our employment, we will do our best to ensure continued development in their role, including consulting them about their requirements, making appropriate adjustments and providing suitable alternative positions if required.

Successfully delivering the Accelerate strategy requires us to evolve both what we do and how we do things. This includes continuing to build the winning culture we need to help deliver on our ambitions, a culture that is built through effective teamwork, fresh thinking, a focus on delivery, and putting our customers at the centre of everything we do.

In support of this, our performance framework, called One Inchcape Values & Behaviours, sets out the values and behaviours we all need to live by at Inchcape. The Company also has various employee policies in place covering a wide range of issues, such as family friendly policies, employment rights and equal opportunities. Policies are implemented at a local level and comply with any relevant legislation in that market. All policies are available on the Group's intranet and compliance is monitored at local level.

The Group's bonus and long-term incentive schemes are designed to encourage involvement in the Company's performance. UK employees are eligible to join the SAYE scheme, which is offered annually. Further details can be found in the Directors' Report on Remuneration on pages 96 to 116.

Employee communication

Townhall meetings are held in each region on a regular basis and also following the release of any financial updates by the Company. The townhall meetings provide employees with information on the Group's performance and an opportunity for consulting employees on new initiatives or other matters that concern them. The Group's global intranet, iConnect, also provides a means of communicating important issues to employees.

The employee experience survey is the primary tool for obtaining the views of employees and the results of the survey are reported to the CSR Committee on an annual basis. The Chair of the CSR Committee is the designated Director for communicating the views of employees to the Board and she reports the findings to the Board following each meeting.

The consultation enables the Board to gain an understanding of how the employee experience is perceived and what actions can be taken to enhance this experience so employees feel challenged, excited, engaged and supported in their roles. Further details can be found in the CSR Committee Report on page 95.

Diversity

As required under LR9.8.6, the breakdown of the gender identity and ethnic background of those who were Directors of the Company and executive management, as well as the gender identity of employees of the Company, as at 31 December 2022 is as follows:

Gender identity or sex as at 31 December 2022	Number of Board members	Percentage of the Board	Number of senior positions on the Board*	Number in executive management	Percentage of executive management	Number of all employees	Percentage of all employees
Men	4	50%	4	62	78%	10,675	73%
Women	4	50%	0	17	22%	3,932	27%
Not specified/prefer not to say	0	0%	0	0	0%	3	<1%

Ethnic background as at 31 December 2022	Number of Board members	Percentage of the Board	Number of senior positions on the Board*	Number in executive management	Percentage of executive management
White British or other White	7	87.5%	4	34	43%
Mixed/Multiple Ethnic Groups	0	0%	0	0	0%
Asian/Asian British	1	12.5%	0	7	9%
Black/African/Caribbean/Black British	0	0%	0	0	0%
Other ethnic group, including Arab	0	0%	0	3	4%
Not specified/prefer not to say	0	0%	0	35	44%

* includes CEO, CFO, SID and Chair

The Board did not have at least one woman in the position of Chair, Chief Executive, Chief Financial Officer or Senior Independent Director as at that date. The Nomination Committee is responsible for succession planning on the Board and as such considers these targets during the recruitment process.

In 2022, we launched our first global HR system enabling our colleagues to self-identify their diversity information. This involved a global review to assess what diversity questions are legally possible, culturally sensitive, and safe to include. The review found that 24% of our markets can ask and collect ethnicity information from employees. The system was launched in November 2022 with a series of communications encouraging colleagues to check and complete their profiles (including ethnicity information) and each year we will roll-out communications and campaigns to encourage full disclosure in markets where we can ask and collect ethnicity data.

Directors' responsibilities

The Directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulation.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Group financial statements have been properly prepared in accordance with United Kingdom adopted international accounting standards and International Financial Reporting Standards (IFRSs) as issued by the International Accounting Standards Board (IASB) and parent company financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 101 'Reduced Disclosure Framework', and applicable law).